Implications for Investors

Loss aversion is a bias that simply cannot be tolerated in financial decision making. It instigates the exact opposite of what investors want: increased risk, with lower returns. Investors should take risk to increase gains, not to mitigate losses. Holding losers and selling winners will wreak havoc on a portfolio. The following inset summarizes some common investment mistakes linked to loss aversion bias.

LOSS AVERSION BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Loss aversion causes investors to hold losing investments too long. This behavior is sometimes described in the context of a debilitating disease: *get-even-itis*. This is the affliction in which investors hold losing investments in the hope that they get back what they lost. This behavior has seriously negative consequences by depressing portfolio returns.
2. Loss aversion can cause investors to sell winners too early, in the fear that their profit will evaporate unless they sell. This behavior limits upside potential of a portfolio, and can lead to too much trading, which has been shown to lower investment returns.
3. Loss aversion can cause investors to unknowingly take on more risk in their portfolio than they would if they simply eliminated the investment and moved into a better one (or stayed in cash).
4. Loss aversion can cause investors to hold unbalanced portfolios. If, for example, several positions fall in value and the investor is unwilling to sell due to loss aversion, an imbalance can occur. Without proper rebalancing, the allocation is not suited to the long-term goals of the client, leading to suboptimal returns.

RESEARCH REVIEW

Over the course of the twentieth century, one investment enigma lingered: Given the respective risk elements of the two asset classes, why had equity returns so markedly and consistently exceeded fixed income returns over time? In 1985, Rajnish Mehra and Edward C. Prescott wrote a paper entitled "The Equity Premium: A Puzzle," which demonstrated that the *equity premium*—the gap between the average rate of return on stocks and the lower, average rate of return on riskless Treasury bills (T-bills)—had steadily averaged 6.18 percent over the preceding century.[3] A more recent